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BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC. *EX PARTE*, APPLICATION FOR APPROVAL OF INITIAL REVENUE ADJUSTMENT, APPROVAL OF FORMULA RATE PLAN, APPROVAL OF MODIFICATIONS TO STANDARD TERMS AND CONDITIONS AND ASSOCIATED RATE SCHEDULES, AND REQUEST FOR INTERIM RATE RELIEF	)	DOCKET NO. U-37483

NOTICE OF NON-COMPLIANCE OF INTERVENTION AND REQUEST FOR CLARIFICATION OF INTERVENTION

Beauregard Electric Cooperative, Inc. ("BECi" or the "Cooperative") respectfully files this Notice of Non-Compliance regarding the intervention filed by Mr. Brian Zelenak ("Zelenak"). As written, Zelenak's intervention fails to comply with the Louisiana Public Service Commission's ("LPSC" or the "Commission) Rules of Practice and Procedure. BECi requests that Zelenak be directed to clarify the scope of his intervention within the Rules' permissible bounds. The Cooperative reserves all rights, including the option to move to strike the intervention, should Zelenak's clarified filing still fail to satisfy Commission rules.

I. BACKGROUND

BECi filed its *Application for Approval of Initial Revenue Adjustment, Approval of Formula Rate Plan, Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and Request for Interim Rate Relief* (the "Application") on January 14, 2025. The

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Application was published in LPSC Bulletin No. 1341 on January 17, 2025, with a 15-day intervention period.

On February 3, 2025, Zelenak, a former BECi employee and resident of Wisconsin, filed an intervention in this docket (the "2/3/25 Intervention"). He has also filed a federal lawsuit against BECi (in addition to certain BECi board members) alleging whistleblower retaliation, among other claims. *See Zelenak v. Beauregard Electric Cooperative, Inc. et al.*, Docket No. 2:24-cv-01803, U.S. District Court for the Western District of Louisiana. Separately, there is a current Commission docket regarding potential BECi violations. See LPSC Docket No. X-37183, *In re: Investigative Audit into Beauregard Electric Cooperative, Inc. and its Board of Directors regarding potential violations of its policies, practices, and/or procedures that could cause cost and/or service impacts*.

II. LAW & ARGUMENT

A. The 2/3/25 Intervention Does Not Comply with the Rules of Practice and Procedure of the Commission.

The 2/3/25 Intervention does not comply with the Rules of Practice and Procedure of the Commission and, therefore, as written, is not valid. Rule 10 of the Rules of the Practice and Procedure of the Commission ("Rule 10") states as follows:

> RULE 10: PARTIES IN INTEREST. **Any party actually in interest may appear in any proceeding before the Louisiana Public Service Commission**. All appearances shall be subject to a motion to strike upon a showing that the party has no justiciable or administratively cognizable interest in the proceeding. As applied to proceedings under R.S. 45:162 et. seq. involving operating authority, a party in interest is any carrier or shipper operating or shipping over a route within the territory or serving any point proposed to be served by any applicant, and transporting any of the same class or classes of commodities, or persons, proposed to be transported by the applicant. Unless otherwise provided by law, any public official, agency or department of the State of Louisiana or any of its political

> subdivisions, and every civic and trade organization shall be permitted to appear in any proceeding whether as a formal intervenor or otherwise, and present any relevant and proper testimony and evidence bearing upon the issues involved in the particular proceeding. (Emphasis added).

Rule 11 of the Rules of Practice and Procedure of the LPSC ("Rule 11") provides:

> RULE 11: APPEARANCES PERSONALLY OR BY REPRESENTATIVE. Any party may appear and be represented by an attorney at law authorized to practice law before the highest court of any State. **A natural person may appear in his own behalf**, or through a bona fide full-time employee. A corporation, partnership or association may appear and be represented by any bona fide officer, partner, full-time employee, or other person if authorized to so appear by the Commission. In all proceedings for the determination, establishment, interpretation or enforcement of tariffs, rates, charges, or any classification, rule or regulation appertaining thereto, any party may appear and be represented by any person who is licensed to practice before the highest court of any State, or by any person who has regularly represented clients before the Louisiana Public Service Commission for at least five (5) years prior to the effective date of these rules. (Emphasis added).

As highlighted above, Rule 10 states in pertinent part, "[a]ny party actually in interest may appear in any proceeding before the [LPSC]" and Rule 11 provides that "[a] natural person may appear in his own behalf, or through a bona fide full-time employee." Zelenak is neither. As stated in the 2/3/25 Intervention, Zelenak is "***a former employee***" seeking to intervene "***on behalf of the members of Beauregard Electric Cooperative***." (Emphasis added). As stated in the Rules of Practice and Procedure of the Commission, Zelenak lacks standing to intervene "on behalf of the members of Beauregard Electric Cooperative." Notably, Zelenak is not currently and has never been a member of the Cooperative and therefore has no justiciable interest in this matter. In that regard, the LPSC has recognized the legal standing of a party who has the actual, justiciable, or administratively cognizable interest, but not that of a third party attempting to represent the interests of others. In an LPSC proceeding involving alleged overcharges by a telecommunications provider to a parish sheriff's office, the LPSC ruled that a consultant company did not have a

justiciable or administratively cognizable interest under Rule 10 to make a complaint against the telecommunications provider despite the fact that the consulting company had contractual authorization from the sheriff's office to make written demand for payment on the telecommunications company.[1] The LPSC specified in so ruling that the contractual authorization did not authorize the consulting company to act on behalf of the sheriff's office at the LPSC in a legal proceeding.

Zelenak has provided no legitimate basis by which he would have standing to intervene in the proceeding on behalf of the entirety of the Cooperative membership.

B. This Docket is Not the Proper Forum for Zelenak's Generalized Grievances Against the Cooperative.

LPSC Docket No. U-37483 is not the proper forum for the claims asserted in the 2/3/25 Intervention. Rule 10 requires intervenors to present only "relevant and proper…evidence ***bearing upon the issues involved in the particular proceeding***." (Emphasis added). The allegations in the 2/3/25 Intervention do not meet this requirement. The 2/3/25 Intervention attempts to interject a whole host of extraneous issues into this rate proceeding in Zelenak's attempt to harass and obstruct the Cooperative and utilize this rate proceeding as a means to an end in his federal lawsuit against the Cooperative and certain Cooperative board members. Zelenak does not shy away from the true motives of the 2/3/25 Intervention, stating that he "was falsely terminated," lodging allegations against board members, and admitting he is currently pursuing his claims against the

[1] LPSC Order No. U-34020, dated March 27, 2017, Allen's Consulting Services, Inc. v. Bellsouth Telecommunications, LLC D/B/A AT&T Louisiana, 2017 W.L. 1177990.

Cooperative in Federal Court, which as stated above, *is* the appropriate forum for him to raise these issues.

The rules of the Commission also allow Zelenak to file his own complaint with the LPSC to air any jurisdictional grievances he has with BECi; however, Zelenak has filed no such complaint. Instead, the 2/3/25 Intervention is an obvious attempt to theatrically hijack the instant rate relief matter. Further, the Cooperative notes that concerns regarding management decisions including but not limited to employee and board benefits are internal, company decisions. In *Beauregard Electric Cooperative, Inc. et al. vs. LPSC*, 19th Judicial District Court Docket No. 683,388, the Court noted that "[t]he express language of the 1974 Louisiana Constitution reasonably interpreted does not allow the Commission the authority to dictate how a private company conducts its own business."[2] While reserving arguments on the merits of Zelenak's allegations, those suggestions relate to how BECi conducts its own business.

Accordingly, the 2/3/25 Intervention is improper under Rule 10 of the LPSC Rules of Practice and Procedure. Again, Zelenak can raise any complaints he may have with BECi, or its operation, by filing **his own** claim of jurisdictional grievances against BECi with the Commission, or through the various other available avenues for non-jurisdictional grievances.

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[2] See Ruling (February 10, 2020), Beauregard Elec. Coop., Inc., et al. v. La. Pub. Serv. Comm'n, Docket No. 683,388, Nineteenth Judicial District Court, Parish of East Baton Rouge, at 2-3 (vacating a Commission Order which, among other things, purported to mandate certain internal management-related activities of several electric cooperatives) ("The express language of the 1974 Louisiana Constitution reasonably interpreted does not allow the Commission the authority to dictate how a private company conducts its own business.")

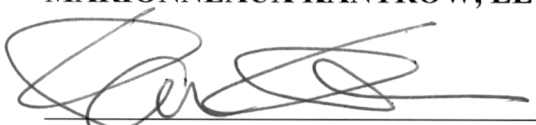
III. CONCLUSION

BECi requests that Zelenak clarify the scope of his intervention to address only relevant matters within the Commission's jurisdiction in this rate proceeding and to clarify the party for whom Zelenak is intervening on behalf of. The Cooperative reserves the right to move to strike Zelenak's updated intervention if said clarified filing still fails to establish standing or raises improper issues. BECi does not seek to prevent Zelenak from participating, but any intervention in this proceeding must comply with Commission rules to avoid unduly broadening this proceeding's scope.

WHEREFORE, Beauregard Electric Cooperative, Inc., prays that the Commission direct Zelenak to clarify his intervention's scope and basis so as to be compliant with the Rules of Practice and Procedure of the LPSC. BECi reserves its rights to seek further relief, including moving to strike the intervention, if warranted after any clarification.

Respectfully submitted,

MARIONNEAUX KANTROW, LLC



Kyle C. Marionneaux (Bar Roll No. 25785)
Kara B. Kantrow (Bar Roll No. 31042)
John N. Grinton (Bar Roll No. 34571)
10202 Jefferson Highway, Building C
Baton Rouge, Louisiana 70809-3183
Telephone: (225) 769-7473
Facsimile: (225) 757-1709
Email: kyle@mklawla.com
kara@mklawla.com
john@mklawla.com
Counsel for Beauregard Electric Cooperative, Inc.

CERTIFICATE OF SERVICE

I hereby certify that I have on this 17th day of February 2025, served copies of the foregoing pleading upon all known parties to this proceeding by U.S. Mail, email, facsimile, and/or hand delivery.



KARA B. KANTROW